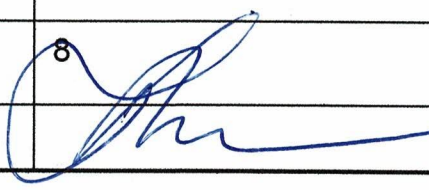


CITY OF DELRAY BEACH

ADMINISTRATIVE POLICIES AND PROCEDURES

DEPARTMENT:	Finance	POLICY NUMBER:	BF-7
SUBJECT:	Budget Transfer and Amendment Policy	SUPERSEDES:	BF-7, Rev 7 (10-1-2023)
REVISION:	8	EFFECTIVE DATE:	September 29, 2025
APPROVED BY:	 Terrence R. Moore, ICMA-CM, City Manager		

PURPOSE

The purpose of this policy is to define, standardize, and set forth procedures and responsibilities for amending or adjusting the adopted budget.

POLICY

BF-7.1 Definitions:

The City of Delray Beach formally authorizes, appropriates, adopts and administers the budget by department, fund, and capital project each year in accordance with Section 166.241 of Florida Statutes as well as Section 4.05(F) of the City Charter. Expenditures and transfers-out cannot exceed individual departmental, fund, and capital project appropriations without formal action of the City Commission.

The term department is defined as the following:

00-Administration	24-Neighborhood & Community Services	54-Neighborhood Services
10-Administrative Services	25-Disaster Services	59-Economic Awards
11-City Commission	26-Development Services	61-Miscellaneous
12-City Manager	34-Sanitation	72-Parks & Recreation
13-Finance	36-Water & Sewer	73-Cultural Services
14-City Attorney	37-Geographic Information Systems	74-Special Events
15-City Clerk	38-Stormwater	75-Recreational Facilities
16-Information Technology	39-Cemetery	79-Other Recreational Facilities
17-Human Resources	40-Environmental Services	85-Debt Service
18-Pensions	41-Public Works	90-Miscellaneous
20-Communications	42-Engineering	91-Transfers
21-Police	43-City Garage	95-Contingency
22-Fire	45-Parking Facility	

If a department is not specifically listed or combined with one of the above, it will be considered a separate department based upon the individual department number established in the ERP (Enterprise Resource Planning) financial accounting software.

Department Heads are responsible for their respective budgets, with oversight by the Finance Department. Failure of a department head to adequately monitor their budget, thereby exceeding the departmental appropriated budget, may lead to disciplinary action up to and including termination.

It is understood that from time to time the originally adopted budget may need to be modified for various reasons. In general, the budget may be amended in two ways: by budget transfer or by budget amendment.

BF-7.2 Budget Transfers / Amendments Procedures:

1. **Budget Transfers:** are transfers from one line to another within a single fund and department's operating budget or within a capital project budget that do not exceed an aggregate of \$65,000.

Transfers up to \$10,000 should be approved by Department Head and sent to Finance Department for CFO approval. At no time should budget transfers be split to bypass additional approvals or to be handled as budget amendments.

Transfers between \$10,000 and \$65,000 should follow the same process with additional approval by the City Manager.

2. **Budget Amendments:** must comply with Florida Statute 166.241 and be adopted in the same manner as the original budget, requiring formal City Commission approval via resolution. They consist of:

- a) **New Appropriations** - Budget appropriation requests that increase the budgeted level of expenditures for a given department or fund must be approved by resolution, requiring formal action of the City Commission. Pursuant to Florida Statutes, budget amendments must be adopted in the same manner as the original budget.

A receipt of revenue from a source not anticipated in the budget and received for a particular purpose including, but not limited to, grants, donations, gifts, or reimbursement for damages, may, by resolution of the City Commission, be appropriated and expenditures provided for in the budget.

- b) **Transfers Between Funds** – Transfers of appropriations between funds must be approved by the City Commission.

- c) **Transfers Between Departments** – Transfers of appropriations between departments must be approved by the City Commission.

- d) **Transfers Between Major Object Code Groups** – Transfers of \$65,000 or more between major expense object code groups (i.e., Personnel, Operating and Capital), including those within the same fund and department, must be approved by the City Commission. Transfers between major object code groups of less than \$65,000 within the same fund and department are approved by the City Manager.

- e) **Transfers of Appropriations Between Capital Improvement Projects** - Capital improvement projects are controlled by project total. Transfers of appropriations between capital improvement projects require the approval of the City Commission.

3. **Contingency Appropriations:**

Provision shall be made in the annual budget for a reasonable contingency appropriation to be expended for use in the administration of the City's affairs for unexpected maintenance or other unanticipated expenses that might occur during the year. This contingency will be available for use by the Mayor and City Commission via the budget amendment process or during the year for initiatives identified by the City Manager and approved by the City Commission. Transfers of appropriation from the Contingency Account to another department must be approved by the City Commission.

4. Year-end Appropriations:

All unexpended appropriations shall lapse at the conclusion of the fiscal year, which ends on September 30th.

Exceptions to this provision include:

- a) Unpaid purchase orders, outstanding contracts, or other financial commitments, contingent upon approval from both the Chief Financial Officer and the City Manager.
- b) Unencumbered appropriations designated for grants and capital improvement projects.